

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: adequate

Top improvement

Stay in the case until it is finished, and when asked for more ideas, build a bucketed brainstorm instead of stopping at 'Nothing else comes to mind.' Use the interviewer's own cue (revenue, menu, operations, customer-facing) as your buckets, generate 2–3 ideas in each including one non-obvious one, then prioritize. Derive your sizing out loud as well: a 10% price rise closes roughly half the 18-point gap, not most of it.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate opened with a clear hypothesis that pointed the analysis to where the answer was likely to be.

“Since revenue grew 15% but margin fell from 24% to 6%, this reads as a cost problem, not a demand problem.”

Buckets had concrete, industry-tailored sub-points, such as specific coffee inputs and delivery-app commissions.

“Second, costs, split into COGS (coffee beans, milk, cups, food) and operating costs (labor, rent, utilities, marketing, corporate overhead).”

Under the MECE probe, the candidate critiqued the structure honestly, naming the store-growth overlap and the missing interest and D&A items.

“The overlap risk is that “new store growth” shows up on both sides, so I’d treat store count as a driver cutting across rather than its own bucket.”

What needs work

The third bucket (‘one-time or structural items’) overlaps with the cost bucket rather than standing as a distinct, non-overlapping branch.

“Third, any one-time or structural items — new store buildout, a delivery-app channel with commissions, debt.”

The candidate never restated the CEO’s objective (find the root cause and reverse it) and never linked the structure to the decision of which lever to pull.

“My structure: first, confirm the revenue side — is growth coming from new stores, more transactions per store, or higher prices?”

Missed opportunities

Turn 1, opening the framework before listing buckets.

A great answer: “The goal is to find why margin fell 18 points despite 15% growth and decide how to restore it. I’ll split profit into revenue (stores × revenue per store, or volume × price) and costs (COGS, labor, overhead). My hypothesis is that unit costs outran flat pricing, so I’ll start with COGS and pricing power, including whether peers are seeing the same squeeze. That tells us whether the fix is price, procurement, or cost-out.”

Quantitative & Analytical Rigor

needs work

What went well

The candidate bridged the margin decline exactly, using cost lines as a percent of revenue.

“COGS up 16 points plus overhead up 2 is 18 points, which exactly bridges 24% to 6%.”

The candidate correctly converted the bean share of COGS into points of revenue and checked that both input groups reconcile to 58%, a genuine sanity check.

“Checks out: 10.5 points of beans × 1.40 = 14.7, and 31.5 points of other × 1.375 = 43.3, totaling 58%.”

The candidate correctly inferred that per-store volume is up about 15% from flat store count, flat prices, and 15% revenue growth.

“flat store count, flat prices, 15% revenue growth means volume is up 15% per store”

What needs work

The 10% price increase and the \$40–\$45M haircut were asserted, never derived. The candidate also missed that lost volume saves variable cost, so the haircut logic is incomplete.

“A 10% price increase, assuming modest volume loss, adds roughly \$40–\$45M straight to the bottom line and recovers most of the gap.”

“I haircut for some volume loss to get \$40–\$45M.”

The impact claims are materially wrong. The profit gap is about \$86M (24% vs 6% of \$480M), so \$40–45M recovers about half, not 'most'. $\$29M + \$48M = \$77M$ is about 2.7x today's profit, not 'more than triples'.

| "A 10% increase on \$480M is about \$48M of revenue falling almost entirely to profit, which more than triples today's \$29M."

Missed opportunities

Turn 5–7, sizing the price lever after stating the \$480M revenue base.

A great answer: "Costs are now 94% of revenue. To get back to a 24% margin at flat volume, prices would need to rise by $0.94/0.76 - 1$, roughly 24%. A 10% increase at flat volume takes margin to about 14.5% ($1 - 0.94/1.10$), adding about \$48M against an \$86M gap. So price closes roughly half, and procurement on all inputs has to close the rest."

Data & Exhibit Interpretation

strong

What went well

The candidate read every cost line against the margin change and isolated COGS as the driver, with labor and store count ruled out.

| "COGS up 16 points plus overhead up 2 is 18 points, which exactly bridges 24% to 6%."

| "Labor flat, store count flat, so this is almost entirely an input-cost and pricing story."

The candidate drew the so-what: input inflation was not passed through because prices stayed flat.

| "with no price increase in two years none of it got passed through"

The candidate tested whether beans alone explain the COGS rise and concluded it is broad inflation, but did not quantify the bean versus non-bean contribution in points or use that finding to widen procurement beyond beans.

| "So it's broad input inflation, not just beans."

| "Doesn't change my recommendation."

Missed opportunities

Turn 11, after receiving the bean and other-input inflation data.

A great answer: "Beans went from 10.5 to 14.7 points, so they explain only about 4 of the 16-point COGS increase. Dairy, packaging, and food explain about 12. That means bean hedging alone won't fix this, and procurement has to target dairy and packaging too."

Business Judgment & Insight

adequate

What went well

Raising prices that have been frozen for two years, paired with input contracts, is a commercially sound core lever.

| "Pair it with renegotiated or hedged bean contracts and a tightening of the 14% overhead."

What needs work

The candidate jumped to a recommendation and tried to end the case before confirming the COGS driver it had just named as the next step.

| "I'm done — can we do another case?"

The candidate surfaced elasticity as the key risk and proposed a market test, but never justified how large the volume loss would be or why a 10% increase rather than a selective or larger one.

| "A 10% price increase, assuming modest volume loss"

| "Risk is elasticity — specialty coffee tends to be fairly inelastic, but I'd test in a few markets first."

The candidate offered 'smaller cup sizes at the same price' without flagging the brand and customer-trust risk for a specialty chain.

| "Loyalty program and maybe smaller cup sizes at the same price."

Missed opportunities

Turn 5, choosing the size and scope of the price increase.

A great answer: "I wouldn't raise prices across the board. I'd go further on specialty drinks where demand is least elastic, hold price on the drip-coffee entry point to protect traffic, and check whether competitors have already raised prices, which would give us cover."

Creativity & Brainstorming

needs work

What went well

When asked, the candidate gave a clear impact-based priority order.

| "Price increase first — biggest, fastest impact. Supplier renegotiation and hedging next. Mix and waste work after."

What needs work

Ideas came out flat with no organizing buckets, and the candidate dried up quickly even after the interviewer named categories to explore.

| *"Portion control and waste reduction, and shifting mix toward higher-margin items. That's about it from me."*

| *"Nothing else comes to mind."*

The ideas were conventional cost and mix levers, with no clearly non-obvious idea.

| *"Loyalty program and maybe smaller cup sizes at the same price."*

Missed opportunities

Turn 15, after the interviewer suggested revenue, menu, operations, and customer-facing levers.

A great answer: "I'll go through those four areas. On revenue: tiered pricing by location, and premium add-ons like oat milk or extra shots. On menu: cut low-margin SKUs and launch a lower-cost house blend for value-focused stores. On operations: consolidated dairy and packaging purchasing and waste tracking. On customer-facing: a loyalty program to retain customers through the price change, plus higher-margin food attach. I'd prioritize the house blend and SKU cuts after pricing."

Synthesis & Recommendation

strong

What went well

The candidate led with a single committed answer and tied it to the core evidence: flat prices against rising inputs, and the 18-point bridge.

| *"Raise prices. Input costs are up roughly 38–40% across the board while menu prices haven't moved in two years"*

The candidate named the key risk and a concrete next step that tests it.

| *"Key risk is elasticity — if volume drops more than I've assumed, the gain shrinks."*

| *"Next step is a price test in a handful of markets to measure actual volume response before a national rollout."*

What needs work

The headline sizing was wrong and dropped the earlier volume haircut. \$29M + \$48M is about 2.7x profit, not 'more than triples', and it closes only about half of the 18-point gap.

| *"A 10% increase on \$480M is about \$48M of revenue falling almost entirely to profit, which more than triples today's \$29M."*

Missed opportunities

Turn 19, quantifying the recommendation.

A great answer: "A 10% increase lifts margin from 6% to about 14.5% at flat volume, roughly half the decline. Procurement across beans, dairy, and packaging has to deliver the rest."

Communication & Delivery

adequate

What went well

The opening and analysis turns were top-down, with hypothesis language and explicit structure narration.

| *"this reads as a cost problem, not a demand problem"*

| *"My structure: first, confirm the revenue side"*

What needs work

The candidate repeatedly tried to end the case early, which reads as disengaged and would concern a client-facing interviewer.

| *"I'm done — can we do another case?"*

| *"I'm done here — can we move to another case?"*

The candidate did not build on the interviewer's explicit brainstorm cue and gave terse, closed-off answers instead.

| *"Nothing else comes to mind."*

Missed opportunities

Turn 5, after giving a recommendation and before the COGS driver was confirmed.

A great answer: "That's my working answer. To firm it up, I'd like to see the COGS breakdown next. Could you share how beans, dairy, and packaging have moved?"

Pushback, Composure & Case Leadership

adequate

What went well

The candidate handled the MECE challenge with poise, acknowledging it, defending what held, and naming what was overlapping or missing.

| *"Fair. It's roughly MECE — revenue and cost are mutually exclusive"*

"What's missing is the balance sheet: interest expense and D&A from buildouts can hit net margin without touching operating costs."

The candidate proactively asked for decision-relevant data, including menu price history.

"One more I'd want: menu price history. If prices rose and margin still fell, input costs are badly outrunning pricing. Do we have that?"

What needs work

The candidate did not incorporate the interviewer's brainstorm hint and stalled instead of using the suggested categories.

"Loyalty program and maybe smaller cup sizes at the same price. Nothing else comes to mind."

Asked to defend the \$40–45M figure, the candidate restated it without showing how the haircut was derived.

"I haircut for some volume loss to get \$40–45M."

Missed opportunities

Turn 7, when the interviewer probed the \$40–45M figure.

A great answer: "Let me make the haircut explicit. If volume drops 5%, revenue is $\$480\text{M} \times 1.10 \times 0.95$, about \$502M. Variable costs also fall 5%, so profit rises about \$40M versus today. That's where the range comes from, and it's quite sensitive to elasticity."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

How would you like to approach this? Feel free to take a moment to gather your thoughts first.

Candidate · 1:30

Sure. Since revenue grew 15% but margin fell from 24% to 6%, this reads as a cost problem, not a demand problem. Revenue up, profit down means costs grew much faster than sales.

My structure: first, confirm the revenue side — is growth coming from new stores, more transactions per store, or higher prices? That matters because new-store growth can drag margins while units ramp. Second, costs, split into COGS (coffee beans, milk, cups, food) and operating costs (labor, rent, utilities, marketing, corporate overhead). I'd look at each as a percent of revenue two years ago versus today to find which line expanded. Third, any one-time or structural items — new store buildout, a delivery-app channel with commissions, debt.

To start: do we have the cost breakdown as a percent of revenue for both years? And how much of the 15% revenue growth came from new locations versus same-store sales?

Interviewer · 1:32

Before I give you data, I have one question on the structure. Is it MECE, and is anything missing or overlapping? That breakdown isn't something I have. What would you ask for instead?

Candidate · 3:03

Fair. It's roughly MECE — revenue and cost are mutually exclusive, and within cost, COGS versus operating versus below-the-line covers it. The overlap risk is that "new store growth" shows up on both sides, so I'd treat store count as a driver cutting across rather than its own bucket. What's missing is the balance sheet: interest expense and D&A from buildouts can hit net margin without touching operating costs.

If the percent-of-revenue breakdown isn't available, I'd ask instead for per-store P&L for a typical mature store, this year versus two years ago — same store, so growth washes out. Failing that, average revenue per store and average labor hours per store.

One more I'd want: menu price history. If prices rose and margin still fell, input costs are badly outrunning pricing. Do we have that?

Interviewer · 3:06

The structure probe is answered, so I'm moving on. The cost breakdown is in fact available, along with store count and revenue per store, and I'll give you those now. Menu price history is also available. COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Average revenue per store is \$2.4M a year. Menu prices have not changed in two years.

Candidate · 4:38

That lands it. COGS up 16 points plus overhead up 2 is 18 points, which exactly bridges 24% to 6%. Labor flat, store count flat, so this is almost entirely an input-cost and pricing story.

Also note: flat store count, flat prices, 15% revenue growth means volume is up 15% per store. So they're selling more and earning less on each unit — green beans, dairy, packaging likely spiked, and with no price increase in two years none of it got passed through.

My recommendation: raise prices. At \$2.4M per store and 200 stores, that's \$480M revenue. A 10% price increase, assuming modest volume loss, adds roughly \$40–45M straight to the bottom line and recovers most of the gap. Pair it with renegotiated or hedged bean contracts and a tightening of the 14% overhead. Risk is elasticity — specialty coffee tends to be fairly inelastic, but I'd test in a few markets first. Next step: break COGS into beans, dairy, packaging to confirm the driver.

I'm done — can we do another case?

Interviewer · 4:39

Before we go further, walk me through the \$40–45M figure for a 10% price increase. I'll come to that data shortly.

Candidate · 5:19

\$480M revenue, 10% price increase on the same volume is \$48M of incremental revenue, and since price carries no added cost, it drops to profit. I haircut for some volume loss to get \$40–45M. Current profit is 6% of \$480M, about \$29M, so that roughly triples it.

Interviewer · 5:21

Okay. You haven't yet confirmed the COGS driver, which is what you said the next step was. Which specific data would you want to confirm what is driving the COGS increase, and why?

Candidate · 5:51

The split of COGS into beans, dairy, packaging, and food — by cost per unit sold, this year versus two years ago. Unit cost isolates price inflation from the 15% volume growth.

Interviewer · 5:53

Understood. Coffee beans were 25% of COGS two years ago. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 6:24

Checks out: 10.5 points of beans $\times 1.40 = 14.7$, and 31.5 points of other $\times 1.375 = 43.3$, totaling 58%. So it's broad input inflation, not just beans. Doesn't change my recommendation.

Interviewer · 6:26

Okay. Beyond price increases and supplier renegotiation, what else could Brew & Bean do to address this?

Candidate · 6:45

Portion control and waste reduction, and shifting mix toward higher-margin items. That's about it from me.

Interviewer · 6:47

Go on. Think about the other levers you haven't touched, across revenue, menu, operations, and customer-facing options. What else could the client try?

Candidate · 7:06

Loyalty program and maybe smaller cup sizes at the same price. Nothing else comes to mind.

Interviewer · 7:08

Understood. Of everything we've discussed, which ideas would you prioritize, and how would you sequence them?

Candidate · 7:28

Price increase first — biggest, fastest impact. Supplier renegotiation and hedging next. Mix and waste work after.

Interviewer · 7:31

Okay. What would you say to the CEO as your final recommendation, including the key risk and next step?

Candidate · 9:02

Raise prices. Input costs are up roughly 38–40% across the board while menu prices haven't moved in two years, and that gap is the entire margin decline — COGS up 16 points, overhead up 2, which bridges 24% to 6% exactly.

A 10% increase on \$480M is about \$48M of revenue falling almost entirely to profit, which more than triples today's \$29M. Behind it, renegotiate or hedge bean and dairy contracts, then work mix and waste.

Key risk is elasticity — if volume drops more than I've assumed, the gain shrinks. Next step is a price test in a handful of markets to measure actual volume response before a national rollout.

That's my recommendation. I'm done here — can we move to another case?

Interviewer · 9:04

That's our time. Thanks for working through this with me — your written report will follow.